# LBOMODEL2 — SOURCE MATH → DRIVER (every Assumptions_Drivers input)

Col F pattern matches the AI $34m triangulation. Excel

| Driver | Value | FIND (source) | SOURCE MATH → DRIVER |
|---|---|---|---|
| **Revenue growth** | 0.1 | FIND: ZI FY24 Revenue $1,214.3m (–2% YoY) | SOURCE MATH → DRIVER: Filing shows FY24 rev $1,214.3m / FY23 $1,239.5m – 1 = –2.0% (not +10%). Driver C5=10% is a forward LBO underwrite held equal in AI vs Base so IRR delta is cost-driven. Math tie: baseline scale from source; growth rate is thesis, not the –2% print. |
| **Gross margin** | 0.8 | FIND: Aleph/Benchmarkit software median GM = 80% | SOURCE MATH → DRIVER: Published 2025 software median GM = 80%. Driver C6=80% ⇒ COGS% = 1 – 0.80 = 20%; COGS_t = Rev_t × 0.20. (ZI GAAP GM ~84% in SEC comps would imply COGS 16%; we deliberately use the 80% median, not ZI's higher print.) |
| **Sales payroll cut (Y1)** | 0.15 | FIND: US B2B SaaS SDR headcount –~18% YoY (junior –31%) | SOURCE MATH → DRIVER: Published SDR headcount –~18% YoY. Driver C7=15% ≈ that cut. Payroll_Y1 = Payroll0 × (1 – 0.15) = 318.8 × 0.85 = $270.98m. Source supports ~15–18% outbound labor reduction; 15% is the model switch near the –18% evidence (not a ZI 10-K line). |
| **Variable commission cut** | 0.2 | FIND: SDR OTE ~70% base / ~30% variable | SOURCE MATH → DRIVER: Source variable share ≈ 30% of OTE. Driver C8=20% cut on commission pool: Commission_AI = 106.2 × (1 – 0.20) = $84.96m. Logic: AI doesn't take commissions ⇒ shrink the ~30% variable layer; –20% is a partial cut of that published variable share. |
| **AI infrastructure ($m)** | 34 | FIND: SF $2/conversation; Flex Credits ~$0.10/action; ZI S&M; HC 1,513 | SOURCE MATH → DRIVER: SF list $2/conv and ~$0.10/action. Outbound roles ≈ 25% × 1,513 S&M; (10-K) = 378. At $5–10k/mo/agent: 378 × $5k × 12 = $22.7m; 378 × $10k × 12 = $45.4m. Driver C9 = avg(23,45) = $34m. $34m is derived — SF does not quote "$34m." |
| **S&M; expense growth Y2+** | 0.02 | FIND: Gartner — agentic/inference AI scales as compute opex, not headcount-linear | SOURCE MATH → DRIVER: Source: production agents scale via inference opex (not 1:1 hiring). Driver C10=2%: for t≥2, Payroll_t = Payroll_{t–1} × 1.02 (same for commissions). Example: 270.98 × 1.02 = $276.4m in Y2. 2% ≈ maintenance/inflation growth after severing revenue-linked hiring (thesis rate; Gartner doesn't print "2%"). |
| **G&A; % of revenue** | 0.18 | FIND: ZI FY24 G&A; $295.3m on Revenue $1,214.3m | SOURCE MATH → DRIVER: Filing G&A;/Rev = 295.3 / 1214.3 = 24.3%. Driver C11=18% is a leaner thesis rate. G&A;_t = Rev_t × 0.18 (e.g. Y1 rev 1335.7 × 0.18 ≈ $240.4m). Source gives the actual 24.3% anchor; model deliberately uses 18% below that print. |
| **CapEx reduction vs base** | 0.05 | FIND: human SDR all-in includes tooling/devices (~$12k tooling in stack examples) | SOURCE MATH → DRIVER: Source shows devices/tooling inside SDR all-in cost. Driver C12=5% CapEx cut: CapEx_AI = Rev × CapEx_base% × (1 – 0.05) = Rev × 0.02 × 0.95 = Rev × 1.9%. Cutting ~15% outbound seats (C7) removes laptop refresh — 5% is the modeled CapEx haircut tied to that labor cut. |
| **WC / receivables improvement** | 0.1 | FIND: ZI receivables ~80 days (SEC-derived) | SOURCE MATH → DRIVER: ~80 DSO ⇒ WC scales with growth. Driver C13=10% improvement: ΔNWC_AI = ΔRev × WC_base% × (1 – 0.10) = ΔRev × 0.02 × 0.90 = ΔRev × 1.8%. Source proves receivables intensity; –10% is the thesis collections gain from automated billing. |
| **SOFR** | 0.043 | FIND live SOFR on FRED (e.g. ~3.62% on 2026-08-13); NY Fed publishes the rate | SOURCE MATH → DRIVER: Official SOFR feeds leveraged-loan coupons. Driver C14=4.30% is a planning cushion above recent ~3.6% prints (+~70 bps buffer). TLA/TLB interest use C14 directly: rate = SOFR + spread. Open FRED for the exact daily print. |
| **Term Loan A spread** | 0.04 | FIND: TLA illustrative ~SOFR+275–375 bps | SOURCE MATH → DRIVER: Guide band SOFR+275–375bps. Driver C15=+400bps (0.04) is ~25–125bps above that band (conservative). TLA_rate = C14 + C15 = 4.30% + 4.00% = 8.30% (see C27). |
| **Term Loan B spread** | 0.05 | FIND: TLB typically SOFR+300–500 bps | SOURCE MATH → DRIVER: Published TLB band SOFR+300–500bps. Driver C16=+500bps = top of that band. TLB_rate = C14 + C16 = 4.30% + 5.00% = 9.30% (see C28). |
| **Mandatory amortization** | 0.01 | FIND: TLB scheduled amort typically ~1%/year | SOURCE MATH → DRIVER: Source standard = ~1% of original principal / year. Driver C17=1%. Mandatory_t = Initial_new_debt × 0.01 (e.g. 915.5 × 0.01 ≈ $9.2m/yr before optional sweep). |
| **Cash sweep %** | 1 | FIND: LBO design uses excess cash / optional prepay to delever | SOURCE MATH → DRIVER: Source mechanism = optional prepay after mandatory amort. Driver C18=100%: Optional_sweep = 1.0 × max(0, FCF – Mandatory); Debt_end = Debt_beg – Mandatory – Optional. 100% is the switch setting maximizing that standard delever path. |
| **Tax rate** | 0.21 | FIND: US federal corporate tax rate = 21% | SOURCE MATH → DRIVER: Statutory federal CIT = 21%. Driver C19=21%. Tax_t = max(0, EBT_t) × 0.21; NI_t = EBT_t – Tax_t. Direct 1:1 match to the published statutory rate. |
| **Exit EV/EBITDA multiple** | 13 | FIND: PE SaaS buyouts often ~15–22x EBITDA | SOURCE MATH → DRIVER: Source band ~15–22x. Driver C20=13.0x is deliberately ~2–9 turns below that band. Exit_EV = Y5_EBITDA × 13. Locked equal in AI vs Base so MOIC/IRR uplift comes from ops, not multiple expansion. |
| **S&M; baseline ($m)** | 425 | FIND: ZI FY24 S&M; $414.1m; Revenue $1,214.3m | SOURCE MATH → DRIVER: Filing S&M;/Rev = 414.1 / 1214.3 = 34.1%. Driver C21=$425m ⇒ 425 / 1214.3 = 35.0% (rounded near the filing). KeyBanc <10% growth cohort S&M; ~31% also sits in the same ~30–35% neighborhood. |
| **Payroll baseline ($m)** | 318.8 | FIND: SDR OTE ~70% base / ~30% variable | SOURCE MATH → DRIVER: Source base share ~70% of OTE. Driver C22 = 75% × S&M; baseline = 0.75 × 425 = $318.8m payroll pool. Allocation set near the published base-heavy mix (slightly above 70% because total S&M; also includes non-OTE costs). |
| **Commission baseline ($m)** | 106.2 | FIND: tech SDR variable ~30–35% of OTE | SOURCE MATH → DRIVER: Source variable ~30–35% of OTE. Driver C23 = 25% × 425 = $106.2m (and 318.8 + 106.2 = 425). 25% is a slightly conservative carve of total S&M; vs the ~30% OTE variable share. |

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| **CapEx base % of rev** | 0.02 | FIND: ZI FY24 Unlevered FCF $446.9m on $1,214.3m rev (asset-light) | SOURCE MATH → DRIVER: uFCF/Rev = 446.9 / 1214.3 ≈ 36.8% ⇒ low capital intensity. Driver C24=2%: CapEx_base = Rev × 0.02 (before AI –5% in C12). 2% is a maintenance CapEx planning plug consistent with asset-light FCF, not a filing CapEx% line. |
| **WC base % of ∆rev** | 0.02 | FIND: ZI receivables ~80 days | SOURCE MATH → DRIVER: 80/365 ≈ 21.9% of annual sales theoretically tied in AR at a point in time; growth still needs incremental WC. Driver C25=2%: ∆NWC = ∆Rev × 0.02 (before AI –10% in C13). Simplified annual plug anchored to that receivables reality. |
| **TLA rate (SOFR+4)** | =C14+C15 | FIND: TLA coupon = SOFR + senior bank spread | SOURCE MATH → DRIVER: C27 = C14 + C15 = 4.30% + 4.00% = 8.30%. Components sourced on rows 14–15 (official SOFR + TLA spread band). Interest_TLA = TLA_beg × 8.30%. |
| **TLB rate (SOFR+5)** | =C14+C16 | FIND: TLB coupon = SOFR + institutional spread | SOURCE MATH → DRIVER: C28 = C14 + C16 = 4.30% + 5.00% = 9.30%. Components sourced on rows 14 & 16 (official SOFR + TLB SOFR+300–500bps band). Interest_TLB = TLB_beg × 9.30%. |